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Supreme Court of California
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No. S284498

IN THE
SUPREME COURT OF CALIFORNIA

DANA HOHENSHELT,
Petitioner and Plaintiff

v.

SUPERIOR COURT FOR THE STATE OF CALIFORNIA
COUNTY OF LOS ANGELES,
Respondent Court,

GOLDEN STATE FOODS CORP.,
Real Party in Interest and Defendant.

After a Decision by the Court of Appeal
Second Appellate District, Division Eight, Case No. B327524
From the Los Angeles Superior Court, Case No. 20PSCV00827

ANSWER BRIEF ON THE MERITS

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INTRODUCTION

The Federal Arbitration Act recognizes the value of arbitration as an "efficient, streamlined" process for resolving disputes. *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 334 (*Concepcion*). Thus, it establishes a "liberal federal policy favoring arbitration" and guarantees that agreements to arbitrate are "enforce[d] … according to their terms." *Id.* at 339.

Unfortunately, not everyone approaches arbitration with an eye towards speed and efficiency. In California, as elsewhere, businesses who require their customers and employees to arbitrate disputes must bear all costs of arbitration beyond the claimant's initial filing fee. *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 107-13 (*Armendariz*). However, many companies strategically delay payment of necessary arbitration expenses to slow the resolution of claims against them. This strategy prevents arbitration from proceeding as the parties envisioned and frustrates "the ability of consumers or employees to vindicate their rights." 2019 Cal. Legis. Serv. Ch. 870, § 1(c)-(d).

In 2019, the California Legislature tackled this problem with Senate Bill 707 ("SB 707"). SB 707 obligates the party who drafted an arbitration agreement to promptly pay agreed-upon arbitration expenses and gives the non-drafting party various remedies, including removal of their claim to court, if the drafting party fails to honor that obligation - exactly what happened here.

When Plaintiff and Petitioner Dana Hohenshelt ("Hohenshelt") filed labor law claims against his former employer, Real Party in Interest and Defendant Golden State Foods Corp. ("Golden State"), the company compelled arbitration based on its mandatory arbitration agreement. Nevertheless, Golden State failed to pay fees set forth in two separate invoices from the arbitration provider, Judicial Arbitration and Mediation Services ("JAMS"), within 30 days of the respective due dates. Accordingly,

Hohenshelt exercised his statutory right to withdraw from arbitration and pursue his claims in court. *See* Cal. Civ. Proc. Code § 1281.98(b)(1). Only then did Golden State try to pay its outstanding fees.

Golden State does not dispute that it breached the terms of its arbitration agreement, which require it to pay all necessary arbitration expenses. Golden State also does not dispute that its breach violated SB 707. Instead, it argues that SB 707's timely payment requirements are preempted by the Federal Arbitration Act ("FAA") – an argument that has been nearly uniformly rejected by the California Courts of Appeal. *See Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621 (*Gallo*); *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761 (*Espinoza*); *Suarez v. Superior Court* (2024) 99 Cal.App.5th 32 (*Suarez*); *Keeton v. Tesla* (2024) 103 Cal.App.5th 26, review granted Sept. 11, 2024, S286260 (*Keeton*). In fact, only a single court has held otherwise. *Hernandez v. Sohnen Enterprises, Inc.* (2024) 102 Cal.App.5th 222, review granted August 21, 2024, S285696 (*Hernandez*).

The weight of authority holds so for good reason: the FAA "contains no express pre-emptive provision, nor does it reflect a congressional intent to occupy the entire field of arbitration." *Volt Information Sciences, Inc. v. Board of Trustees of the Leland Stanford Junior University* (1989) 489 U.S. 468, 477 (*Volt*). The Act simply declares that states may not render arbitration agreements "[in]valid, [r]evocable," or "[un]enforceable" based on rules that uniquely disfavor arbitration. 9 U.S.C. § 2; *Kindred Nursing Centers Ltd. Partnership v. Clark* (2017) 581 U.S. 246, 248, 251 (*Kindred*).

As relevant here, SB 707 does not disfavor arbitration. Rather, SB 707 *encourages* arbitration by ensuring that proceedings are not delayed by a corporate defendant's failure to honor its payment obligations – it ensures that employees and customers will not languish in "procedural limbo and delay" while the very company that forced them to arbitrate drags its feet on payment. *Gallo*, *supra*, 81 Cal.App.5th at 634 (quotation omitted). In other

words, SB 707 secures the very interests that the FAA seeks to promote – i.e, speed and efficiency – and honors the intent of the parties, who agree to arbitrate precisely because they wish to resolve their disputes quickly.

This Court has never held that a pro-arbitration law such as SB 707 is preempted by the FAA, nor has the U.S. Supreme Court. As a result, courts have repeatedly confirmed the value of state laws facilitating arbitration. *See, e.g.*, *Volt*, *supra*, 489 U.S. at 476-479 (state laws establishing a "set of procedural rules" for arbitration comply with the FAA); *Joseph v. Advest, Inc.* (Pa. Super. Ct. 2006) 906 A.2d 1205, 1210 (*Joseph*) (laws limiting window to challenge arbitration awards encourage expeditious resolution). There is no reasonable basis to now depart from this settled rule.

STATEMENT OF THE CASE

In November 2020, Hohenshelt filed an action against Golden State in the Los Angeles County Superior Court alleging violations of various California labor and harassment laws. (Pet. Appx.[1] 23-25.) The superior court granted Golden State's motion to compel arbitration. (Pet. Appx. 193.) The parties arbitrated until Golden State failed to pay required arbitration expenses in 2022 and Hohenshelt filed a motion to proceed in court pursuant to SB 707. (Pet. Appx. 8-14, 193.) The superior court denied that motion, but the Court of Appeal for the Second District reversed and "enter[ed] an order lifting the stay of litigation to allow [Hohenshelt] to pursue his claims in court." *Hohenshelt v. Superior Court* (2024) 99 Cal.App.5th 1319, 1323, review granted June 12, 2024, S284498.

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[1] "Pet. Appx." pages citations refer to Golden State's Exhibits Supporting Petition for Writ of Mandate or Other Appropriate Relief filed in the Court of Appeal on April 3, 2023.

I. Statutory Background

A. The FAA guarantees the enforcement of arbitration agreements

Enacted in 1925, the FAA is itself modeled on state law. *See* Boaz S. Morag & Kate Gonzalez, *CPLR Article 75 Or the Federal Arbitration Act: Which One Applies to Arbitrations in New York and Why It Matters*, 52 Int'l L. 265, 265 (2022) ("Indeed, [New York's arbitration statute] predates the 1925 Federal Arbitration Act (FAA) and was the model for the FAA."). The majority of the Act is devoted to outlining the procedures for conducting arbitration in federal courts, but – like the New York law on which it was modeled – the Act also includes a substantive component guaranteeing the enforceability of arbitration agreements. *Id.* at 268; *Concepcion*, *supra*, 563 U.S. at 339. Section 2 of the Act provides that an agreement "to settle by arbitration a controversy" arising out of "a transaction involving commerce … shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2.

In simple term, Section 2 requires courts reviewing an arbitration agreement to "give effect to the intent of the parties." *Stolt-Nielsen S.A. v. AnimalFeeds International Corp.* (2010) 559 U.S. 662, 684 (*Stolt-Nielsen*). Courts must "place arbitration agreements on an equal footing with other contracts." *Concepcion*, *supra*, 563 U.S. at 339 (quotation omitted). To invalidate an arbitration agreement, courts must do so based on principles that are "generally applicable" to all contracts. *Id.* (quotation omitted). In other words, courts may not "singl[e] out arbitration agreements for disfavored treatment." *Kindred*, *supra*, 581 U.S. at 248.

In enacting the FAA, Congress did not "inten[d] to occupy the entire field of arbitration." *Volt*, *supra*, 489 U.S. at 477. Therefore, the Act does not preclude all arbitration-specific state laws. The Act simply aims to "ensure the enforceability … of private agreements to arbitrate," leaving room for

states to enact rules governing the conduct of arbitration, especially where those rules are "manifestly designed to encourage resort to the arbitral process." *Id.* at 476. In this context, state law is often necessary to "effectuat[e]" the FAA's pro-arbitration policy. *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 408 (*Rosenthal*).

B. SB 707 amends the CAA to guarantee timely payment of arbitration fees

California enacted its own Arbitration Act in 1927. Like the federal act, the California Arbitration Act ("CAA") embodies "a strong public policy in favor of arbitration" and guarantees that arbitration contracts shall be "valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract." *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 176 (*Valencia*) (quotation omitted); Cal. Code of Civ. Proc. § 1281.

The CAA's procedural rules overlap with, but are not identical to, the FAA's. *Rosenthal*, *supra*, 14 Cal.4th at 406-407. For example, the CAA empowers a court to deny or stay arbitration while related court litigation is ongoing; the FAA has no such provision. *Compare* Cal. Code of Civ. Proc. § 1281.2(c) *with* 9 U.S.C. § 3. The CAA also allows parties to agree to expand the scope of judicial review of an arbitration award, whereas the grounds for review prescribed in the FAA are exclusive. *Compare Cable Connection, Inc. v. DIRECTV, Inc.* (2008) 44 Cal.4th 1334, 1340 (*Cable Connection*) *with Hall Street Associates, L.L.C. v. Mattel, Inc.* (2008) 552 U.S. 576, 578. Similarly, the CAA provides a mechanism for parties to disqualify arbitrators; the FAA does not. *Compare* Cal. Code of Civ. Proc. § 1281.91 *with* 9 U.S.C. § 5. These procedural distinctions have been upheld as consistent with the FAA and California's authority to prescribe the "efficient order of [arbitral] proceedings." *Doctor's Associates, Inc., v Casarotto* (1996) 517 U.S. 681, 688 (*Doctor's Associates*); *see, e.g.*, *Volt*, *supra*, 489 U.S. at 470; *Cable Connection*, *supra*, 44 Cal.4th at 1350-54.

In 2019, the California Legislature passed SB 707 to address another inefficiency in arbitral proceedings. *See* 2019 Cal. Legis. Serv. Ch. 870 (SB 707) (codified at Cal. Code of Civ. Proc. §§ 1281.97-1281.99). In recent decades, large companies have increasingly imposed mandatory arbitration agreements on their employees and customers. *See, e.g.*, Alexander J.S. Colvin, *The growing use of mandatory arbitration*, Econ. Pol'y Inst. (Apr. 6, 2018), perma.cc/MBD8-467Q (observing that "since the early 2000s, the share of workers subject to mandatory arbitration has more than doubled"). In return, those companies agree to bear the bulk of the cost of arbitration. *Armendariz*, *supra*, 124 Cal.4th at 107-13. However, when that promise is actually put to the test, many companies shirk their obligation and refuse to pay the fees necessary for an arbitration to move forward. *See* 2019 Cal. Legis. Serv. Ch. 870, § 1(c)-(d). In such situations, the proceedings are left in limbo, and the employees or consumers are unable to "vindicate their rights." *Id.* at § 1(d).

The California Legislature saw this pattern play out many times. In one instance, Uber prohibited 12,500 of its drivers from litigating wage claims against the company in a class action, forcing the drivers instead to pursue their claims in individual arbitrations. *See O'Connor v. Uber Technologies, Inc.* (9th Cir. 2018) 904 F.3d 1087. The company then refused to pay the required fees to initiate nearly all of the arbitration proceedings, *see* Alison Frankel, *Forced into arbitration, 12,500 drivers claim Uber won't pay fees to launch cases*, Reuters (Dec. 6, 2018), https://bit.ly/3Umk1CO. Lyft repeated the same tactic soon thereafter. *See* Alison Frankel, *3,420 Lyft drivers claim the company won't pay arbitration fees to launch their cases*, Reuters (Dec. 14, 2018), https://reut.rs/4e149N0.

The Legislature determined that this practice – i.e., forcing employees and consumers into arbitration and then withholding payment to deny them any opportunity to vindicate their rights – undermined the benefits of

arbitration and the purposes of the FAA. "Paradoxically, by refusing to pay the arbitration costs," these companies could delay adjudication "in the name of a process that is supposed to be cheaper and easier for the parties." Assembly Committee on the Judiciary, Report on SB 707, p. 8 (June 18, 2019). This behavior, the Legislature said, "undermine[s] the intent of Congress." Senate Rules Committee, Third Reading of SB 707, p. 5 (Apr. 23, 2019). In response, the Legislature enacted SB 707 to clarify parties' payment obligations and ensure that arbitrations proceed "in a timely manner." Assembly Committee on the Judiciary, Report on SB 707, p. 9 (June 18, 2019).

SB 707 accomplishes this legislative intent in two ways. First, when an arbitrator issues an invoice for fees or costs required to "initiate" or "continue" an arbitration proceeding, the party who drafted the arbitration agreement must pay those fees and costs "within 30 days after the [invoice's] due date." Cal. Code of Civ. Proc. Code §§ 1281.97(a)(1), 1281.98(a)(1). If the drafting party fails to effect payment within the 30-day grace period, it is "in material breach of the arbitration agreement." *Id.* Notably, this provision does not create a payment obligation; the provision only applies if the parties' arbitration agreement requires the drafting party to pay fees and costs. *Id.*

Second, the law provides remedies to the non-drafting party in the event the drafting party breaches the agreement by failing to timely pay the required fees. As relevant here, pursuant to Cal. Code of Civ. Proc. § 1281.98(b), the non-drafting party may elect to (1) petition the court for an order compelling the drafting party to pay the required fees, (2) pay the drafting party's fees and recover the payment at the conclusion of arbitration, (3) continue with the arbitration proceeding and defer to the arbitrator's discretion as whether to pursue an action against the drafting party for the missed payment, or (4) withdraw the claims from arbitration and pursue them in court. In addition, the non-drafting party is entitled to recover reasonable

expenses, including attorneys' fees and costs, incurred as a result of the drafting party's breach. Cal. Code of Civ. Proc. § 1281.99(a). The court may also impose additional sanctions against the drafting party if appropriate under the "circumstances." Cal. Code of Civ. Proc. § 1281.99(b).

These remedies, as the Legislature has explained, build on the Ninth Circuit's decisions in *Brown v. Dillard's, Inc.* (9th Cir. 2005) 430 F.3d 1004 (*Brown*) and *Sink v. Aden Enters., Inc.* (9th Cir. 2003) 352 F.3d 1197 (*Sink*), which both held that failure to pay arbitration expenses constitutes a breach of an arbitration agreement and undermines the FAA's goal of promoting expeditious resolution of claims. *See Brown*, *supra*, 430 F.3d at 1012, and *Sink*, *supra*, 352 F.3d at 1200-02. Empowering the non-drafting party to either compel payment or withdraw from arbitration "deter[s] bad actors" from withholding payment (and thereby stalling arbitration) and eliminates the "perverse incentive for drafting parties to demand arbitration in a contract of adhesion and then refuse to pay the arbitrator when a claim was made." Assembly Committee on the Judiciary, Report on SB 707, p. 10-11 (June 18, 2019). In doing so, the Legislature acknowledged that "failure to pay the required costs" may "expose a company to significant monetary penalties," but balanced that against "the harm that the drafting party's breach of contract could impose on employees or consumers who are in limbo" and whose "livelihood may be the subject of the adjudication." *Id.* at p. 10. For those parties, *any* delay "could be significant." *Id.*; *see Keeton*, *supra*, 103 Cal.App.5th at 41 (agreeing that the Legislature struck a "reasonable" balance in this regard).

Notably, the remedies afforded by SB 707 correspond with the general remedies available for other contracts. For instance, when a contracting party refuses to perform its obligations under the contract in a way that denies the non-breaching party the benefit of the bargain, the breaching party loses the right to enforce the contract. *Plotnik v. Meihaus* (2012) 208 Cal.App.4th

1590, 1602 ("[I]n contract law a material breach excuses further performance by the innocent party"). The non-breaching party may then seek money damages for the breach or pursue equitable remedies like specific performance. *Real Estate Analytics, LLC v. Vallas* (2008) 160 Cal.App.4th 463, 472 (describing requirements for specific performance). SB 707 simply affirms these general contract principles in the context of contractual arbitration.

Unfortunately, after the Legislature enacted SB 707, corporations devised new ways to delay necessary payments and frustrate the arbitration process. Specifically, although SB 707 required companies to pay fees and costs "within 30 days after [an invoice's] due date," it did not specify when an arbitrator must send an invoice or when payment becomes due. 2019 Cal. Legis. Serv. Ch. 870, §§ 4-5. This created an "ambiguity as to when a business or employer is 30 days late and therefore in material breach of the arbitration agreement." Cal. Sen. Rules Comm., SB 762 Unfinished Business, p. 2 (Aug. 25, 2021), perma.cc/8HKV-QJV6. Corporations weaponized this ambiguity by preventing arbitrators from issuing invoices and then, when invoices *were* issued, by securing "undisclosed payment extensions" to avoid triggering SB 707's 30-day timeline and its remedies for missed payments. *Id.*

To close this loophole and establish "clear guidelines" for payment, the Legislature adopted Senate Bill 762 ("SB 762"). *Id.* SB 762 amended SB 707 to require arbitrators to promptly issue invoices. 2021 Cal. Legis. Serv. Ch. 222, §§ 2-3 (codified at Cal. Code of Civ. Proc. §§ 1281.97(a)(2), 1281.98(a)(2)). To "avoid delay," SB 762 also makes all invoices "due upon receipt" and permits extensions only if both parties agree. *Id.*; *see also Reynosa v. Superior Court of Tulare County* (2024) 101 Cal.App.5th 967, 988 ("[I]t is clear the Legislature sought to preempt undisclosed payment extensions that exploited a loophole in" SB 707). Parties can, however,

establish a different payment deadline in their arbitration agreement. *See* Cal. Code of Civ. Proc. §§ 1281.97(a)(2), 1281.98(a)(2).

II. Factual Background

A. Golden State imposes a mandatory arbitration agreement on Hohenshelt as a condition of employment

Golden State hired Hohenshelt as a sanitation employee in July 2018 and promoted him to the position of Sanitation Supervisor roughly a year later. (Pet. Appx. 21.) When he was hired, Hohenshelt was required to sign an "At-Will Acknowledgement and Pre-Dispute Resolution Agreement." (Pet. Appx. 35-36.) The agreement provides that "all claims" he may have against Golden State related to his employment "shall be submitted to final and binding arbitration." (Pet. Appx. 35.)

The agreement specifies that in the event of arbitration Hohenshelt is responsible for his own "attorney's fees, witness fees, court reporter fees, deposition fees, [and] initial filing fee, but that Golden State will pay "all other reasonable fees and costs unique to arbitration as well as the costs of the arbitrator." (Pet. Appx. 35.)

B. Hohenshelt sues Golden State for harassment, retaliation, and labor violations, and the superior court compels arbitration

In the fall of 2019, Hohenshelt learned that a Sanitation Lead at Golden State was sexually harassing a female coworker, so he reported the behavior to his supervisor and Golden State's senior management. (Pet. Appx. 22.) Golden State ignored the complaint and the alleged harassment continued. (Pet. Appx. 22.) Golden State's management then retaliated against Hohenshelt by initiating disciplinary actions him, placing him on a performance improvement plan, and eventually terminating his employment. (Pet. Appx. 22.)

Hohenshelt filed a civil complaint against Golden State in Los Angeles County Superior Court, alleging harassment, retaliation, and violations of California labor law. (Pet. Appx. 23-25.) Golden State filed a motion to stay the litigation and compel arbitration, which Hohenshelt did not oppose. (Pet. Appx. 28-30, 42-47.) The superior court granted Golden State's motion in April 2021. (Pet. Appx. 193.)

C. Golden State breaches the agreement by failing to pay required arbitration fees

Arbitration commenced through JAMS in August 2021. (Pet. Appx. 49-50.) The appointed arbitrator's fee schedule stated that "[a]ll fees are due and payable in advance of services rendered and by any applicable due date." (Pet. Appx. 72, 76.) In April 2022, the arbitrator set a November 2022 date for the final hearing. (Pet. Appx. 234-38.)

On July 29, 2022, JAMS issued an invoice to Golden State for $32,000. (Pet. Appx. 88.) The invoice stated that "[p]ayment is due upon receipt" and warned that "[f]ailure to pay the deposit may result in a delay in service or cancellation of the session." (Pet. Appx. 88.) Golden State neither responded nor paid the invoice. On August 29, 2022, JAMS sent another invoice, for $11,760. (Pet. Appx. 87.) Again, the invoice stated that payment was due upon receipt and warned that failure to pay could delay arbitration. (Pet. Appx. 87.) Nevertheless, Golden State neither responded nor paid the invoice. Accordingly, on September 30, 2022, JAMS sent a letter to the parties explaining that it had not received the required payments and that the final hearing "may be subject to cancellation" unless Golden State paid in full by October 28, 2022. (Pet. Appx. 86.)

Because it failed to pay either invoice within 30 days after its due date – both invoices were due upon receipt – Golden State materially breached its arbitration agreement with Hohenshelt. *See* Cal. Code of Civ. Proc. § 1281.98(a). Hohenshelt submitted a letter to JAMS and Golden State

explaining that, pursuant to Cal. Code of Civ. Proc. § 1281.98(b)(1), he was electing to withdraw his claims from arbitration and proceed in court. (Pet. Appx. 102-103.) Only thereafter – a week later – did Golden State attempt to pay the outstanding fees. (Pet. Appx. 111.)

D. The Court of Appeal holds that SB 707 is consistent with the FAA and permits Hohenshelt to withdraw from arbitration

Hohenshelt filed a motion in the superior court to lift the stay pending arbitration, explaining that, in light of Golden State's breach, he was electing to withdraw his claims from arbitration pursuant to Cal. Code of Civ. Proc. § 1281.98(b)(1). (Pet. Appx. 8-14.) The superior court, however, denied Hohenshelt's motion. (Pet. Appx. 311-315, 332-333.)

In doing so, the superior court ignored that both invoices were "due upon receipt," incorrectly reasoning that the operative "due date" was October 28, 2022, the date set forth in JAMS's follow-up letter. (Pet. Appx. 314.) The court also opined that, because Golden State had not otherwise delayed the arbitration proceedings, thee late payments were insufficient to constitute a material breach of the arbitration agreement. (Pet. Appx. 314.)

Hohenshelt then filed a petition for a writ of mandate with the Court of Appeal for the Second District, which agreed with Hohenshelt and vacated the superior court's order with instructions to enter an order lifting the stay. *Hohenshelt*, *supra*, 99 Cal.App.5th at 1326. The appellate court explained that "the trial court's ruling ignored the clear language of" Cal. Code of Civ. Proc. § 1281.98(a)(2) insofar as it held that the operative due date was October 28, 2022. *Id.* at 1324. Both invoices were "due upon receipt" and Cal. Code of Civ. Proc. § 1281.98(a)(1) requires payment of all invoices within 30 days after the due date, meaning the payments for the two invoices were required to be made no later than August 28, 2022, and September 28, 2022, respectively, to avoid breach. *Id.* at 1324-25. Although parties can

mutually agree to extend the due date under Cal. Code of Civ. Proc. § 1281.98(a)(2), Hohenshelt never agreed to an extension, and JAMS lacked the power to extend the deadlines on its own. *Id.* at 1324. "*The statute does not empower an arbitrator to cure a party's missed payment.* There is no escape hatch for companies that may have an arbitrator's favor." *Id.* (emphasis in original).

The Court of Appeal also rejected Golden State's preemption argument. SB 707 is not preempted, the court explained, "because the procedures [it] prescribe[s] *further*—rather than *frustrate*—the objectives of the FAA to honor the parties' intent to arbitrate and to preserve arbitration as a speedy and effective alternative forum for resolving disputes." *Id.* at 1325-1326 (quoting *Gallo*, *supra*, 81 Cal.App.5th at 630). The mere fact that a law is unique to arbitration (the thrust of Golden State's argument) does not trigger preemption, because the FAA prohibits only those laws that "discourag[e] arbitration." *Id.* at 1326. SB 707, moreover, "gives effect to the parties' agreement" to arbitrate. *Id.* Moreover, even if the statutory scheme has the effect of ending an arbitration, which is not a certainty given the non-breaching party option of continuing in arbitration, this result only occurs when the breaching party has failed to fee its fees on time. Thus, "the fault" for such a result rests with the breaching party. *Id.*

Justice Wiley dissented. He reasoned that the FAA preempts SB 707 because the law "singles out arbitration." *Id.* at 1328. California, he reasoned, "cannot create a rule specific to the arbitration context." *Id.* Justice Wiley also disagreed that SB 707 is a "friend of arbitration," though he did so without addressing the fact that SB 707 encourages speed in arbitration or the reality that SB 707 has the effect of ending an arbitration proceeding only when a drafting party halts the proceeding by breaching the arbitration agreement by refusing to pay the required fees. *Id.* at 1329.

Following the Court of Appeal's decision, this Court granted review to consider whether the FAA preempts SB 707.

SUMMARY OF ARGUMENT

Golden State devotes much of its brief to exploring the history of arbitration and the FAA. However, the basic features of the federal regime are not in dispute. All agree that Congress adopted the FAA with "two goals" in mind. *Dean Witter Reynolds, Inc. Byrd* (1985) 470 U.S. 213, 221 (*Byrd*). First, the Act guarantees "judicial enforcement of privately made agreements to arbitrate." *Id.* at 219. Second, in doing so, the Act encourages the "efficient" and "streamlined" resolution of disputes. *Concepcion*, *supra*, 563 U.S. at 344; *see also* H.R. Rep. 68-96, p. 2 (1924) ("[T]he costliness and delays of litigation … can be largely eliminated … if arbitration agreements are made valid and enforceable."). These goals are effectuated by Section 2 of the FAA, which provides that arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2.

The FAA does not, however, preempt every state law specific to arbitration. Federal and state courts have long held that states are free to enact laws governing the procedure for conducting arbitration and that such laws "will, by definition, be arbitration-specific." *Volt*, *supra*, 489 U.S. at 476; *Gallo*, *supra*, 81 Cal.App.5th at 639. States are likewise free to enact arbitration-specific laws that preserve an arbitration agreement's validity and enforceability. *Postmates Inc. v. 10,356 Individuals* (C.D. Cal. Jan. 19, 2021) 2021 WL 540155, *7 (*Postmates*). Such laws simply do not fall within the scope of Section 2, because they "do not require a court to render arbitration agreements invalid." *Id.* Furthermore, even laws that *do* fall within the scope of Section 2 and its "equal treatment" test are valid if they encourage, rather than disfavor, arbitration. *Kindred*, *supra*, 581 U.S. at 248 (states may not single out arbitration for "disfavored treatment").

SB 707 squares easily with Section 2. As codified, SB 707 is a procedural law, it does not invalidate arbitration agreements, and it encourages arbitrating parties to resolve their disputes expeditiously. Simply put, it is not preempted. Recognizing as much, Golden State is left to argue that the CAA does not actually apply to its agreement with Hohenshelt. However, Golden State has at least twice forfeited this argument, which is, nonetheless, of no avail: the CAA applies to arbitrations in California by default.

ARGUMENT

I. Like the FAA, California's rules facilitate arbitration, and thus not preempted

The FAA does not preempt all arbitration-specific state laws. *Volt*, *supra*, 489 U.S. at 477. Instead, the Act leaves room for states to act in at least three ways, each of which applies here. One, it permits states to adopt procedural laws governing the conduct of arbitration within their borders. Two, it permits state laws that have no effect on the "valid[ity]" or "enforceab[ility]" of arbitration agreements. 9 U.S.C. § 2. Three, it permits state laws that encourage, rather than disfavor, arbitration.

A. States are free to craft procedures for conducting arbitration

To start, California's rules are not preempted, because the FAA does not preempt state laws establishing *procedures* for conducting arbitration, which is as far as SB 707 extends. SB 707 establishes procedures ensuring the timely payment of fees that arbitrating parties necessarily agreed upon when they entered the arbitration agreement.

Before Congress enacted the FAA, American courts frequently refused to enforce arbitration agreements at all. *See Byrd*, *supra*, 470 U.S. at 219-220, fn. 6 (explaining the hostility in common law to arbitration agreements and the judiciary's corresponding "refusal to enforce" them). The

FAA addressed this problem by guaranteeing that arbitration agreements "shall be valid" and "enforceable." 9 U.S.C. § 2; *see also Byrd*, *supra*, 470 U.S. at 220 (Congress's "principal objective" was simply to "enforce agreements into which parties had entered"). By doing so, however, Congress did not guarantee or require any particular set of procedural rules. *Volt*, *supra*, 489 U.S. at 476. "[T]he federal policy is simply to ensure … enforceability." *Id.*

Accordingly, the FAA's preemptive effect is "limited" to state laws that impair the validity of the arbitration agreement itself and does not extend to state laws that merely govern the conduct of arbitration. *Moscatiello v. Hilliard* (2007) 595 Pa. 596, 603. For example, the FAA preempts a state law that renders arbitration clauses unenforceable if the contract does not contain a notice of the arbitration clause on the first page but does not preempt a law that stays arbitration pending the resolution of related litigation. *Doctor's Associates*, *supra*, 517 U.S. at 683; *Volt*, *supra*, 489 U.S. at 477-479.

Consequently, many courts have held that states are free to enact "procedural rather than substantive" rules specific to arbitration, even if the required procedures differ from those prescribed in the FAA. *See, e.g.*, *Morgan Keenan & Co, Inc. v. Smythe* (Tenn. 2013) 401 S.W.3d 595, 606 (collecting state court decisions). Because such rules merely "determin[e] … the efficient order of proceedings," they do not "affect the enforceability of the arbitration agreement itself." *Doctor's Associates*, *supra*, 517 U.S. at 688. This holds true even if the state's procedural rule affects a party's ability to ultimately prevail in the arbitration. *See, e.g.*, *Volt*, *supra*, 489 U.S. at 471 (California statute permitting stay of arbitration while related litigation is ongoing in state court); *Finn v. Ballentine Partners, LLC* (2016) 169 N.H. 128, 139-42 (*Finn*) (New Hampshire statute permitting vacatur of arbitration award on broader grounds than those specified in the FAA); and *Nafta*

Traders, Inc. v. Quinn (Tex. 2011) 339 S.W.3d 84, 97-101 (similar law in Texas).

Indeed, it is hardly surprising that states have adopted their own procedural schemes governing the conduct of arbitration within their jurisdiction. Most arbitration, after all, is supervised by state courts, not federal courts. *Cf. Nitro-Lift Techs, L.L.C. v. Howard* (2012) 568 U.S. 17, 17 ("State courts rather than federal courts are most frequently called upon" to enforce arbitration agreements.). States must "have available some procedure[s]" to supervise those arbitrations. *Rosenthal*, *supra*, 14 Cal.4th at 408. This is why *every* state has adopted its own arbitration act. *See* Daniel D. Derner & Roger S. Haydock, *Confirming an Arbitration Award*, 23 Wm. Mitchell L. Rev. 879, 882 n.19 (1997) (collecting state acts). Those state arbitration acts, like their federal counterpart, are mostly procedural. *See, e.g.*, *Law Finance Group, LLC v. Key* (2023) 14 Cal.5th 932, 945-56 (the CAA "sets out procedures governing judicial proceedings related to arbitration"). No one is arguing – including Golden State – that those state laws are broadly preempted by the FAA.

As with state arbitration acts in general, SB 707 merely prescribes the "order of proceedings" and does not "affect the enforceability of the arbitration agreement itself." *Doctor's Associates*, *supra*, 517 U.S. at 688. It instructs arbitrators to promptly issue invoices and specifies that drafting parties have 30 days following receipt of an invoice to pay the "costs to initiate an arbitration proceeding" and other "costs required to continue the arbitration." Cal. Code of Civ. Proc. §§ 1281.97(a)(1)-(2), 1281.98(a)(1)-(2). It further provides the non-drafting party and the court options for enforcing those timelines if the drafting party fails to submit payment on time. Cal. Code of Civ. Proc. §§ 1281.97(b)-(c), 1281.98(b)-(c), 1281.99. "In this respect," the law is "akin to a statute of limitations," a quintessentially procedural rule. *Gallo*, *supra*, 81 Cal.App.5th at 641-642.

To be sure, a state's procedural authority is not unlimited; but as long as a state's rule does not "require a judicial forum for the resolution of claims," it is permissible. *Southland Corp. v. Keating* (1984) 465 U.S. 1, 10 (*Southland*). California's payment rules fall well short of that line. As the California Court of Appeal has recognized, "[t]his rule of procedure for the conduct of the arbitration proceeding is not preempted by the FAA." *Suarez*, *supra*, 99 Cal.App.5th at 43.

B. California's payment rules do not invalidate any arbitration agreements.

Even if, *arguendo*, California's payment rules go further than establishing procedures for conducting arbitration, they are still not preempted, because they do not render any arbitration agreements "[in]valid, [r]evocable," or "[un]enforceable." 9 U.S.C. § 2.

As with all statutory interpretation, the issue of preemption centers on the text of Section 2. *Epic Systems Corporation v. Lewis* (2018) 584 U.S. 497, 505. The section provides that an agreement to arbitrate "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2.

On one hand, a state law may not declare an arbitration agreement invalid or unenforceable, and it may make an arbitration agreement revocable only upon grounds that are generally applicable to all contracts. *Concepcion*, *supra*, 563 U.S. at 339. On the other hand, if a state law does not render the agreement invalid, unenforceable, or revocable, Section 2's equal treatment rule is not implicated. Such is the case here: SB 707 simply prescribes procedural rules relating to making timely payments and provides remedies for failing to do. Because it does not render the agreement invalid, unenforceable, or revocable, SB 707 lawfully coexists with Section 2.

Courts have consistently applied Section 2's equal treatment test only when a state law "discourage[es] or prohibit[s] the *formation* of an arbitration

agreement." *Chamber of Commerce v. Bonta* (9th Cir. 2023) 62 F.4th 473, 486 (*Chamber of Commerce*) (emphasis added). In other words, the test applies to laws that, "on their face," preclude enforcement of entire categories of arbitration agreements. *Postmates*, *supra*, 2021 WL 540155 at *7. For example, a law declining to enforce *any* arbitration agreement entered into by an individual acting with power of attorney is preempted. *Kindred*, *supra*, 581 U.S. at 248. So too is a rule declaring unenforceable *all* arbitration agreements that include class waivers. *Concepcion*, *supra*, 563 U.S. at 340. Nevertheless, Section 2's equal treatment test has never been applied to preempt a state law merely requiring the parties to abide by procedural requirements designed to ensure that the arbitration process proceeds smoothly.

In fact, other sections of the FAA make clear that a party to an arbitration agreement cannot stall the arbitral process then rely on that same arbitration agreement to prevent an opposing party from seeking redress in court. Section 3, for example, empowers a federal district court to stay court proceedings in favor of arbitration only if "the applicant for the stay is not in default in proceeding with such arbitration." 9 U.S.C. § 3. Section 4, in turn, specifies that a court may not grant a petition to order arbitration if the petitioner has "fail[ed], neglect[ed], or refus[ed] to perform" their obligations under the "arbitration agreement." 9 U.S.C. § 4.

These provisions prevent a party from "refus[ing] to cooperate with arbitration," then complaining when the opposing party seeks a remedy for that refusal in court. *Sink*, *supra*, 352 F.3d at 1201. In sum, a corporation cannot have its cake – e.g., by forcing an individual to arbitrate – and eat it too – e.g., by stalling the arbitral process by withholding payment. Because the enforcement of this simple rule does not call the agreement itself into question, it does not run afoul of Section 2. Quite the opposite, it *enforces* the terms of the agreement by imposing consequences for a breach. *Id.*

Case law reinforces the proposition that a law requiring parties to honor their obligations under an arbitration agreement does not impair the validity of the agreement. The U.S. Supreme Court's decisions in *Volt* and *Doctor's Associates* are particularly instructive.

In *Volt*, the Court considered a California law "allowing a court to stay arbitration pending resolution of related litigation." *Volt*, *supra*, 489 U.S. at 470. That law did not run afoul of the FAA even though it "stayed [arbitration] where the [FAA] would otherwise permit it to go forward," because it "did not affect the enforceability of the arbitration agreement itself." *Id.* at 479; *Doctor's Associates*, *supra*, 517 U.S. at 688. The law simply prescribed "a certain set of procedural rules" for conducting the arbitration, and therefore complied with the FAA's pro-arbitration policy. *Volt*, *supra*, 489 U.S. at 476.

Conversely, in *Doctor's Associates*, the Court considered a rule that rendered an arbitration agreement unenforceable if the agreement did not contain a prominent notice on its first page. *Doctor's Associates*, *supra*, 517 U.S. at 683. The Court distinguished that rule from *Volt*'s temporary-stay rule, explaining that, unlike the *Volt* rule, the notice requirement completely "invalidate[d] the [arbitration] clause" and rendered it unenforceable in every circumstance. *Id.* at 688. The rule was therefore preempted by Section 2. *Id.* The crucial factor, as other courts have observed, is whether parties can "get to arbitration." *Finn*, *supra*, 169 N.H. at 140. If the answer is no – i.e., if "state law attempts to force them to resolve their disputes in court" – Section 2 applies, because the state law frustrates the parties' intentions. *Id.*

The instance matter is akin to *Volt*. After Hohenshelt filed his complaint against Golden State in the superior court, the trial court enforced the arbitration agreement and ordered the parties to arbitration. (Pet. Appx. 42.) Subsequently, as Golden State acknowledges, the parties "arbitrated their dispute for over a year," exchanging discovery, filing motions, and

scheduling hearings. (Opening Brief at p. 15.) It was not until Golden State failed to pay the required arbitration fees in violation of its contractual obligations that Hohenshelt invoked his statutory right under Cal. Code of Civ. Proc. § 1281.98(b)(1) to withdraw from the arbitration. (Pet. Appx. 8-13.)

Thus, only *after* the superior court had already "enforced [their] arbitration agreement" did SB 707's "procedural requirements" apply. *Espinoza*, *supra*, 83 Cal.App.5th at 783. The superior court certainly did not force Golden State and Hohenshelt to resolve their dispute in court or otherwise refuse to honor their agreement; it simply held Golden State to its contractual obligations. *Cf. Concepcion*, *supra*, 563 U.S. at 339 (explaining that Section 2's equal treatment principle is meant to thwart judicial "hostility" to arbitration). Section 2 has no say in this situation.

Indeed, even in cases like the instant matter, where the drafting party breaches its contractual obligations and fails to submit timely payments, SB 707 still does not act to terminate arbitration, let alone "invalidate" an arbitration agreement. The law simply "gives the employee or consumer the *option* of continuing in arbitration or returning to a judicial forum." *Gallo*, *supra*, 81 Cal.App.5th at 642 (emphasis in original). This is a far cry from making the parties' agreement "[un]enforceable." 9 U.S.C. § 2; *Postmates*, *supra*, 2021 WL 540155 at *8 ("SB 707 does not automatically render arbitration agreements unenforceable …").

Of course, Golden State would prefer a different rule, namely, that Section 2 is triggered whenever, as here, a court permits the plaintiff to pursue claims in court rather than arbitration. Regardless, such a rule cannot stand, because Cal. Code of Civ. Proc. § 1281.2(c), the very law that the Supreme Court found *not* to be preempted in *Volt*, gives California courts the power to do "exactly that." *Keeton*, *supra*, 103 Cal.App.5th at 38; *see also Volt*, *supra*, 489 U.S. at 476-479; Cal. Code of Civ. Proc. § 1281.2(c)

(providing that a court may decline to compel arbitration and order the parties into court when "[a] party to the arbitration agreement is also a party to a pending court action or special proceeding … arising out of the same transaction"). The mere possibility that a state law, like SB 707 or Cal. Code of Civ. Proc. § 1281.2(c), will result in the termination of an already-commenced arbitration "does not necessarily establish preemption," because such laws are distinct from laws that invalidate "the arbitration agreement itself." *Keeton*, *supra*, 103 Cal.App.5th at 38; *Doctor's Associates*, *supra*, 517 U.S. at 688.

None of Golden State's cited cases proves otherwise. In each, the party arguing for preemption was not prevented from arbitration because it failed to comply with a state's procedural requirements, but rather because it was barred from agreeing to arbitrate in the first instance. *See, e.g.*, *Kindred*, *supra*, 581 U.S. at 248 (Kentucky Supreme Court declined to enforce *any* arbitration agreement entered into by individuals acting with power of attorney); *Concepcion*, *supra*, 563 U.S. at 340 (California rule rendered *all* arbitration agreements waiving class-wide arbitration unenforceable); *Southland Corp.*, *supra*, 465 U.S. at 10 (California law "void[ed]" "[a]ny condition, stipulation or provision" requiring arbitration of certain franchise-related claims) (quotations omitted); *Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1124 (*Sonic-Calabasas*) (California rule prohibited the enforcement of any arbitration agreement that required an employee to waive his right to *Berman* hearing); *Chamber of Commerce*, *supra*, 62 F.4th at 486 (California's AB 51 imposed criminal penalties on the mere "formation of agreements that have the essential terms of an arbitration agreement"). These laws "explicitly invalidated" agreements to arbitrate based on the terms of the agreements themselves and were therefore "subject to" Section 2's equal treatment test. *Postmates*, *supra*, 2021 WL 540155 at *7.

SB 707, by contrast, treats every arbitration contract as "valid, irrevocable, and enforceable," and permits access to the courts only when a drafting party breaches its payment obligations under that contract.

C. California's rules comply with the FAA's equal treatment principle because they *encourage* arbitration.

Assuming, *arguendo*, that Section 2 of the FAA does apply, SB 707 nevertheless survives because it does not disfavor arbitration. The U.S. Supreme Court has consistently interpreted the FAA to preempt state laws only if they treat arbitration worse than other kinds of contracts. *E.g.*, *Kindred*, *supra*, 581 U.S. at 248. Here, California's payment rules do not disfavor arbitration. Quite the opposite, SB 707 *facilitates* arbitration by requiring the prompt payment of required arbitration fees. In doing so, it both promotes the unique benefits of arbitration as an expeditious dispute resolution process and safeguards the intent of the contracting parties. Accordingly, California's rules are "a friend of arbitration and not its foe." *Gallo*, *supra*, 81 Cal.App.5th at 645.

The equal treatment principle reflects two fundamental policies enshrined in the FAA. *Concepcion*, *supra*, 563 U.S. at 339. First, it reflects the "liberal federal policy favoring arbitration." *Id.* (quoting *Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24). Second, it recognizes "that arbitration is a matter of contract." *Id.* (quoting *Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 67). Together, these principles mean that "courts must place arbitration agreements on an equal footing with other contracts." *Id.* Thus, states may not adopt rules that either prohibit arbitration or "singl[e] out arbitration agreements for disfavored treatment." *Kindred*, *supra*, 581 U.S. at 251. Stated differently, the FAA preempts state rules that treat arbitration agreements *less favorably* than "any [other] contract." 9 U.S.C. § 2.

However, this federal policy favoring arbitration does not prohibit states from enacting *any* law unique to arbitration. As explained above, states are free to craft laws that "determine … the efficient order of [arbitration] proceedings." *Doctor's Associates*, *supra*, 517 U.S. at 688. More importantly, states are free to enact laws that specifically promote or encourage, rather than disfavor, arbitration. *Postmates*, *supra*, 2021 WL 540155 at *7. When a law is "pro-arbitration," there is no equal treatment concern, and therefore no preemption. *Id.* at *7-8; *see also Concepcion*, *supra*, 563 U.S. at 339 (explaining that the equal treatment principle embodied in Section 2 of the FAA is designed to thwart "hostility" to arbitration).

Indeed, many states have laws on the books that specifically encourage arbitration. *E.g.*, Cal. Code of Civ. Proc. § 1281.2 (providing for specific performance of arbitration contracts rather than damages, i.e., the usual remedy for breach); 42 Pa. Cons. Stat. Ann. § 7314(b) (limiting the time period for challenging arbitration awards). The entirety of the California Arbitration Act is, in fact, an arbitration-specific law. Nevertheless, it is not preempted in its entirely, because, like the FAA, it "strongly favors arbitration … as a speedy and relatively inexpensive means of dispute resolution." *OTO, LLC v. Kho* (2019) 8 Cal. 5th 111, 125.

Like those laws, SB 707 is emphatically pro-arbitration. By specifying deadlines for the payment of required arbitration expenses and delineating the possible "consequences of untimely payment," it ensures that arbitration will proceed expeditiously rather than "languish in limbo" when the drafting party is late with payment. *Gallo*, *supra*, 81 Cal.App.5th at 641, 643 (emphasis omitted). When a drafting party forces employees or consumers into arbitration only to then withhold arbitration by refusing to pay arbitral fees, it denies the employee or consumer arbitration by the terms of the agreement and necessarily undermines arbitration itself. SB 707 provides a

"targeted remed[y]" for this problem, thereby "mak[ing] arbitration *more effective*." *Postmates*, *supra*, 2021 WL 540155 at *8 (emphasis in original).

By providing remedies to non-drafting parties, SB 707 is intended to incentivize drafting parties to abide by their agreements and proceed with arbitration under the agreed-upon terms. Without SB 707, drafting parties, who, as here, are generally responsible for the bulk of arbitration fees, could "indefinitely postpone" arbitration by neglecting to timely pay the required fees and thereby "frustrat[e] the aggrieved party's attempts to resolve its claims." *Sink*, *supra*, 352 F.3d at 1201 (explaining that "refusing to cooperate with arbitration" by defaulting on payments is contrary to the goals of the FAA).

Legislative history underscores SB 707's pro-arbitration design. The California Legislature faced a pattern of corporations requiring arbitration and then balking in the face of steep arbitration fees. In one case, delivery drivers were forced to file nearly 5,000 arbitration demands against Postmates because Postmates' mandatory arbitration agreement prohibited class arbitrations. *Adams v. Postmates, Inc.* (N.D. Cal. 2019) 414 F. Supp. 3d 1246, 1249. The drivers were obligated to pay nearly $100,000 in fees to start the proceedings. *Id.* at 1250. However, when it came time for Postmates to shoulder its portion of the costs, the company "refused to pay any fees," even after the arbitrator informed Postmates that "payment of the filing fees was expected." *Id.* In another case, after drivers filed individual arbitration demands against Lyft, the company did not simply refuse to pay the required arbitration fees, it also filed a tort lawsuit against the drivers' attorney to stop him from representing the drivers in arbitration. *See* Pet. for Order Compelling Arbitration, p. 3-4, *Abarca v. Lyft* (N.D. Cal. Dec. 13, 2018), Case No. 3:18-cv-07502, ECF No. 1. Such obstructionism is precisely what SB 707 targets.

The California Legislature enacted the law not with an eye towards thwarting efforts to arbitrate, but to give individuals the tools they need to realize the intended benefits of arbitration. *See* Cal. Senate Rules Comm., Third Reading of SB 707, p. 2 ("SB 707 ensures that individuals who have been forced to submit to a mandatory arbitration … would be provided with procedural options … when a company stalls or obstructs the arbitration proceeding."). In this respect, the law has succeeded, both by persuading otherwise stubborn companies to pay required arbitration fees and by giving individuals alternatives, such as proceeding in court, when corporations refuse to cooperate. *See, e.g.*, *Jolly v. Intuit Inc.* (N.D. Cal. 2020) 485 F.Supp.3d 1191, 1196 (explaining that, although Intuit was attempting to force the plaintiffs' contract-breach claims out of arbitration and into small-claims court, it paid the initial arbitration fees to avoid running afoul of SB 707); and *Keeton*, *supra*, 103 Cal.App.5th at 31 (employee removed claim to court after company failed to respond to five separate invoices issued by the arbitrator).

As this Court has previously recognized, giving parties to an arbitration contract the tools to move the arbitration process forward is exactly what the FAA leaves room for states to do. "[T]he federal policy of ensuring enforcement of private arbitration agreements, centrally embodied in section 2, is not self-implementing." *Rosenthal*, *supra*, 14 Cal.4th at 408. It "requires that courts have available some procedure by which a party seeking arbitration may compel a resisting party to arbitrate." *Id.* The FAA itself provides such a mechanism: filing a motion to compel arbitration in federal court, 9 U.S.C. § 4, though "state law may … provide for other" remedies. *Rosenthal*, *supra*, 14 Cal.4th at 408. This is what the California Legislature has done through SB 707.

Furthermore, California's prompt payment requirements secure the unique benefits of arbitration that Congress sought to promote when it

enacted the FAA. The advantage of arbitration is its "efficient and expeditious resolution of claims." *Sink*, *supra*, 352 F.3d at 1201; *see also Concepcion*, *supra*, 563 U.S. at 344 (highlighting arbitration's "efficient, streamlined procedures"); *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.* (1985) 472 U.S. 614, 628. By funneling more disputes to arbitration, the FAA "largely eliminated" the "costliness and delays of [traditional] litigation." H.R. Rep. 68-96, p. 2.

SB 707 furthers the same goal. By setting a firm deadline for payment and prescribing consequences for businesses who fail to meet that deadline, it holds drafting parties' "feet to the fire" and ensures "the resolution of disputes with alacrity." *Gallo*, *supra*, 81 Cal.App.5th at 645. In other words, SB 707 encourages speed and disincentivizes delay. *Agerkop v. Sisyphian LLC* (C.D. Cal. Apr. 13, 2021) 2021 WL 1940456, *5 (*Agerkop*) (concluding that SB 707 is "consistent with the purpose of the FAA" for that reason).[2]

In that regard, SB 707 is notably distinct from other laws that have been deemed preempted by the FAA. *See, e.g.*, *Concepcion*, *supra*, 563 U.S. at 348 (law requiring class arbitration was "inconsistent with the FAA," because it "makes the process slower, more costly, and more likely to generate procedural morass"); *Preston v. Ferrer* (2008) 552 U.S. 346, 357-358 (law requiring parties to refer disputes to state agency before proceeding to arbitration would "hinder speedy resolution of the controversy"); *Sonic-Calabasas*, *supra*, 57 Cal.4th at 1124 (state rule entitling employees to

[2] Golden State, for its part, speculates that SB 707 is actually "more likely to delay resolution of disputes than expedite it." (Opening Brief at p. 48-50.) The only evidence it offers in support of this speculation, however, is the fact that it and other businesses have spent time challenging the law in court. (*See* Opening Brief at p. 49-50.) SB 707, by contrast, confronted the very real problem of companies "fail[ing] to pay the fees of an arbitration service provider" and thereby "hinder[ing] the efficient resolution of disputes." 2019 Cal. Legis. Serv. Ch. 870, § 1(c).

Berman hearing before pursuing wage dispute in arbitration "would impose significant delays in the commencement of arbitration"). Rather, it is much more akin to laws that have survived scrutiny under the FAA's equal treatment test. *See, e.g.*, *Joseph*, *supra*, at 1210 (rule imposing a 30-day time limit to challenge arbitration awards, rather than the FAA's three-month window, "reinforces" the "FAA's purpose of … expedit[ing] litigation").

Likewise, SB 707 "give[s] effect to the intent of the parties," which is the FAA's "principal purpose." *Stolt-Nielsen*, *supra*, 559 U.S. at 684. For one, it reinforces the parties' existing contractual obligations: the law applies only if the parties' agreement already "requires … the drafting party to pay certain fees and costs" to keep the arbitration going. Cal. Code of Civ. Proc. §§ 1281.97(a)(1), 1281.98. Golden State and Hohenshelt's agreement does just that. (Pet. Appx. 35.) Moreover, when parties agree to arbitrate, they intend to pursue a "speedy" resolution of their claims. *Espinoza*, *supra*, 83 Cal.App.5th at 771. SB 707 simply provides a tool to hold drafting parties like Golden State to that agreement.

Golden State's obstacle preemption theory fails for the same reason. "Far from imposing an obstacle to arbitration, [SB 707] facilitates an expeditious resolution" of disputes, "thus furthering the goals of the FAA." *Espinoza*, *supra*, 83 Cal.App.5th at 783. On this point, Golden State attempts to draw a comparison between SB 707 and another California law, AB 51. (Opening Brief at p. 41.) However, this comparison highlights precisely why SB 707 does *not* pose an obstacle to arbitration in California. In *Chamber of Commerce*, *supra*, 62 F.4th at 486, the Ninth Circuit held that AB 51 severely burdened arbitration because it "impos[ed] civil and criminal sanctions on any employer" who required an employee, as a condition of employment, to enter a contract that waived "the right to file or pursue a civil action" under California's labor laws. Therefore, AB 51 prohibited the very *formation* of arbitration agreements, because waiver of the right to pursue a civil action is

the "defining feature of arbitration agreements." *Id.* By contrast, SB 707 imposes no burdens on the formation of arbitration agreements; in fact, it *expedites* the execution of such contracts. "The dichotomy … is obvious" – SB 707 "*remov*es obstacles to the arbitration process," whereas AB 51 creates them. *Postmates*, *supra*, 2021 WL 540155 at *9.

D. Golden State's arguments to the contrary are unavailing

Golden State makes four additional arguments for preemption. None is convincing, and the arguments make clear that what Golden State is actually arguing for is not a rule favoring arbitration, but rather a rule favoring the businesses that make their employees and customers sign arbitration agreements.

First, Golden State belabors SB 707's unique standard for "material breach" and the consequences it imposes for non-payment. (Opening Brief at p. 37-44.) While it is true that a material breach is defined by statute, Golden State's objection on this point ignores the reality that, for the employees and consumers who must vindicate their rights in arbitration, "*no* breach [is] immaterial." *Gallo*, *supra*, 81 Cal.App.5th at 644. Indeed, it is hardly a stretch to characterize the withholding of payment as a material breach of an arbitration agreement. *See, e.g.*, *Sink*, *supra*, 352 F.3d at 1199-1200 (affirming finding of default where drafting party "was required to pay the costs of arbitration" but "did not pay these costs" or give "notice that it would be unable to pay"). The Legislature reasonably concluded that defining breach as a matter of law and providing meaningful remedies for late payment were necessary to ensure that businesses did not "push" employees and consumers into arbitration and then stall the process through nonpayment. *Gallo*, *supra*, 81 Cal.App.5th at 644; *see also Espinoza*, *supra*, 83 Cal.App.5th at 777-78 (the Legislature balanced the possibility of harsh consequences for delinquent payments against "the harm that the drafting

party's breach … could impose on employees or consumers," who have no other "avenue to pursue their legal rights") (quotation omitted).

In any event, mere departure from default standards of judicial review does not establish an equal treatment violation. Rather, the dispositive question is whether the departure renders the arbitration agreement *invalid* based on rules that *disfavor* arbitration. *See* 9 U.S.C. § 2 (applying only when state law invalidates an arbitration agreement based on rules not applicable to other contracts); *Gallo*, *supra*, 81 Cal.App.5th at 641 (the rule must commit the "additional … sin" of "outright prohibiting arbitration or more subtly discouraging arbitration"). SB 707 neither invalidates arbitration agreements nor disfavors arbitration.

Next, Golden State argues that SB 707 must be preempted because it "authorize[s] a different result between filing in state court and federal court." (Opening Brief at p. 50.) This argument suffers from two flaws. First, in making this argument, Golden State mischaracterizes the current state of the law. Federal courts, like California courts, *do* apply SB 707 when the parties' arbitration agreement is governed by California law. *See, e.g.*, *Postmates*, *supra*, 2021 WL 540155 at *6-10, 13; *Agerkop*, *supra*, 2021 WL 1940456 at *3-6. Thus, the outcome under SB 707 is the same whether in federal court or state court. Second, the fact that arbitration procedures vary from forum to forum is hardly surprising. As this Court has previously explained, the FAA's pro-arbitration policy "is not self-implementing." *Rosenthal*, *supra*, 14 Cal.4th at 408. It requires "some procedure," and contemplates a role for "state law" in filling that gap. *Id.* In a federalist system, differences in procedure – from state to state, and between state and federal courts – are inevitable.

A familiar example: different states limit or expand the scope of judicial review of arbitration awards relative to the federal default. The FAA, for instance, prescribes a three-month window to challenge arbitration

awards in court, 9 U.S.C. § 12, whereas Pennsylvania law restricts a challenge to within 30 days. 42 Pa. Cons. Stat. Ann. § 7314(b). Similarly, the FAA, at Section 10, limits the grounds for vacatur of an arbitration award to factors like "corruption, fraud," "partiality," or "misconduct," whereas New Hampshire law permits vacatur for any "plain mistake." N.H. Rev. Stat. Ann. § 542:8. These differences could certainly be dispositive in a court's decision whether to enforce an arbitration award, but they are not subject to preemption, because "there is no federal policy favoring arbitration under a certain set of procedural rules." *Finn*, *supra*, 169 N.H. at 141; *Joseph*, *supra*, 906 A.2d at 1209-10 (both quoting *Volt*, *supra*, 489 U.S. at 476).

Golden State's third additional argument is that SB 707 will disincentivize businesses from agreeing to arbitration for fear of sanctions in the event they breach the agreements through delinquent payment. (*See* Opening Brief at p. 41.) Parties to a contract, especially the drafting party, generally do not plan to miss payments or otherwise breach the contract. Yet the California Legislature designed the strict consequences in SB 707 precisely for bad actors who *do* plan to drag their feet on payments. *Gallo*, *supra*, 81 Cal.App.5th at 644; *cf. Sakkab v. Luxottica Retail North America, Inc.* (9th Cir. 2015) 803 F.3d 425, 437 (observing that Congress "clearly … did not intend for the parties' expectations to trump any and all other interests").

Regardless, "[t]he statute's 30-day deadline is generous enough that a party exercising reasonable diligence reliably can meet it," and it is "unlikely employers and others would forego the advantages of arbitration for fear of missing that deadline." *Espinoza*, *supra*, 83 Cal.App.5th at 785. In the event they do, SB 707's more severe sanctions are not automatic: if a court finds that the drafting party "acted with substantial justification or that other circumstances make the imposition of the sanction unjust," it may decline to impose additional sanctions. Cal. Code of Civ. Proc. § 1281.99(b).

Golden State's final additional argument is that even if pro-arbitration laws like SB 707 are generally permissible, the FAA must at least preempt SB 707 here, because it had the effect of terminating the parties' arbitration and permitting Hohenshelt to pursue his claim in court. (Opening Brief at p. 48.). To reiterate, SB 707 does not "prohibit the enforcement of an arbitration agreement" or otherwise run afoul of the equal treatment principle in Section 2. The law does not prevent anyone from agreeing to arbitrate disputes like Hohenshelt's and in fact *encourages* parties to arbitrate those disputes expeditiously. Notably, neither the U.S. Supreme Court nor this Court has ever embraced the rule Golden State suggests here, i.e., deeming a pro-arbitration law preempted because it incidentally ended a particular arbitration.

Golden State cites *Sonic-Calabasas* and *Western Bagel Company, Inc. v. Superior Court* (*Western Bagel*) for the proposition that the FAA preempts state-law rules that "interfer[e] with the fundamental attributes of arbitration … even if the rule is designed to facilitate prosecution of certain kinds of claims." (Opening Brief at p. 47) (quotation omitted). However, neither of these cases considered a *pro*-arbitration rule. *See Sonic-Calabasas*, *supra*, 57 Cal.4th at 1124 (preempting California rule that invalidated arbitration contracts requiring employees to waive their right to a *Berman* hearing); *Western Bagel* (2021) 66 Cal.App.5th 649, 654 (holding that the FAA's pro-arbitration policy required resolving ambiguities about the existence of an arbitration contract in favor of arbitration, rather than applying contra proferentum canon to resolve the ambiguity against the drafter).

Golden State's reliance on *Morgan v. Sundance, Inc.* (2022) 596 U.S. 411 (*Morgan*) and *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562 (*Quach*) is likewise misplaced. Golden State asserts that these cases stand for the proposition that states may not create "pro-arbitration rules" based on the FAA's policy favoring arbitration. (Opening Brief at p.

47.) In doing so, Golden State reads far too much into the holdings. Those decisions simply affirmed the straightforward principle that courts should treat applications to compel or stay arbitration "in the manner provided by law." *Morgan*, *supra*, 596 U.S. at 419; *Quach*, *supra*, 16 Cal.5th at 576 (both quoting 9 U.S.C. § 6). The FAA "does not authorize … courts to invent" their own "arbitration-preferring" procedures to effectuate the statute's general pro-arbitration policy. *Morgan*, *supra*, 596 U.S. at 418.

Needless to say, that is not case here – the courts are not inventing anything; they *are* treating arbitration "in the manner provided by law." *Id.* at 419. SB 707 gives non-drafting parties the option to withdraw their claim to court when drafting parties fail to make timely payments. Cal. Code of Civ. Proc. § 1281.98(b)(1). Hohenshelt chose that statutorily provided option when Golden State breached their agreement.

II. The CAA governs the agreement here

Perhaps sensing the flaws in its preemption arguments, Golden State shifts gears and argues that the CAA, including SB 707, simply does not apply here, because the parties purportedly declined to adopt California's arbitration laws in their agreement. (Opening Brief at p. 51-55.) This argument fails twice over. First, Golden State forfeited this argument by failing to raise it both in the trial court *and* in the Court of Appeal, as well as its petition for review in this Court. There is no reasonably justification to excuse those forfeitures now. Second, the CAA applies by default for arbitrations conducted in California.

A. Golden State forfeited its argument to the contrary, *twice*

As a rule, parties "cannot raise a new issue for the first time on appeal." *Bonner v. City of Santa Ana* (1996) 45 Cal.App.4th 1465, 1476. It is "unfair to the trial court and any opposing litigants." *Id.* Instead, parties must rely on the arguments raised and preserved in the courts below. *E.g.*, *People v. Richardson* (2021) 65 Cal.App.5th 360, 368 (describing the principle of

"party presentation" and collecting cases demonstrating that "courts are loath to address issues that have not been raised by the parties"). This is especially true when this Court exercises its discretionary review: "the Supreme Court normally will not consider an issue that the petitioner failed to timely raise in the Court of Appeal." Cal. Rules of Court, rule 8.500(c)(1).

Golden State forfeited its argument twice over. In the superior court, when Hohenshelt filed a motion to lift the stay and proceed in court pursuant to Cal. Code of Civ. Proc. § 1281.98(b)(1), Golden State did not argue that it was not bound by the CAA. Instead, it assumed that the CAA applied and argued only that its failure to pay the required fees on time did not constitute material breach. (*See* Pet. Appx. 141-44.) Subsequently, in the Court of Appeal, Golden State reiterated its material-breach argument and added a new preemption argument, but again neglected even to suggest that its agreement with Hohenshelt was not covered by the CAA. (*See* Golden State's Court of Appeal Response at p. 12-23.) Only in its *supplemental* brief, after the Court of Appeal requested briefing on the entirely separate question of preemption, did Golden State argue – for the first time – that the agreement incorporated federal procedural rules and excluded California's rules. (*See* Golden State's Suppl. Brief at p. 13-15.)

This is, to put it frankly, too little, too late. As Hohenshelt has previously noted, parties may not raise dispositive issues for the first time on appeal, let alone in a supplemental brief. *Dahms v. Downtown Ponoma Prop. & Bus. Improvement Dist.* (2009) 174 Cal.App.4th 708, 712, fn. 1 ("Any arguments that could have been raised in the original briefs … but were not raised until the supplemental briefs will not be considered."). By failing to raise this argument sooner, Golden State deprived Hohenshelt of "a full and fair opportunity to respond." *Golden Door Props., LLC v. County of San Diego* (2020) 50 Cal.App.5th 467, 555 (2020). This failed stripped both the trial court and the Court of Appeal of the opportunity to fully address the

issue "in the first instance." *People v. Valdez* (2012) 55 Cal.4th 82, 143 (quotation omitted). It has also left this Court without the benefit of a reasoned opinion from either of those courts to review. It is thus of no surprise that Golden State did not list the issue in its petition for review before this Court. (Golden State's Petition at p. 11.)

On occasion, California courts will excuse forfeiture, but only "rarely." *In re S.B.* (2004) 32 Cal.4th 1287, 1293. Specifically, only if the "public interest" requires it, and only if the forfeited issue is a "pure question of law" with general applicability. *Meridian Fin. Servs., Inc. v. Phan* (2021) 67 Cal.App.5th 657, 700; *Hale v. Morgan* (1975) 22 Cal.3d 388, 395. Golden State's forfeited argument, however, is neither a matter of public interest nor a pure question of law. Rather, it is a case-specific question that turns on the particular terms of Golden State's and Hohenshelt's arbitration contract and their intention in agreeing to those terms. Golden State offers no compelling reason to excuse its forfeiture – it does not so much as acknowledge the forfeiture.

B. In any event, the CAA applies.

Even if, *arguendo*, Golden State had not forfeited the issue, its argument fails because SB 707 and the remainder of the CAA apply by default: "the procedural provisions of the CAA apply in California courts by default." *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 174 (*Valencia*); *see also Quach*, *supra*, 16 Cal.5th at 582.

Critically, parties to an arbitration agreement need not explicitly agree to be bound by California's procedural rules. So long the parties have not "expressly designated" that they intend to "move forward under the FAA's procedural provisions rather than under state procedural law," the CAA governs. *Quach*, *supra*, 16 Cal.5th at 582 (parties must "expressly agree" to elect alternative procedures).

Here, Golden State and Hohenshelt did not expressly adopt either California or federal procedures. While the agreement provides that it "shall be governed by the Federal Arbitration Act" (Pet. Appx. 35), multiple state and federal courts have applied SB 707 to agreements with nearly identical language. *See, e.g.*, *Postmates*, *supra*, 2021 WL 540155 at *1; *De Leon v. Juanita's Foods* (2022) 85 Cal.App.5th 740, 746.

Moreover, even when the FAA's procedures apply, interpretation of the arbitration agreement itself is "governed by state law principles." *Valencia*, *supra*, 185 Cal.App.4th at 177; *see also Wagner v. Stratton Oakmont, Inc.* (9th Cir. 1996) 83 F.3d 1046, 1049. This includes the question of breach. *Brown v. Dillard's, Inc.* (9th Cir. 2005) 430 F.3d 1004, 1010 (applying "general principles of California contract law" to determine the consequences of the drafting party's "breach of its obligations under the arbitration agreement"). Accordingly, SB 707 applies here because it defines when a drafting party has breached its payment obligations in a contract to arbitrate.

CONCLUSION

For the foregoing reasons, this Court should affirm the decision of the Court of Appeal.

Dated: November 20, 2024

Respectfully Submitted,

MAYALL HURLEY P.C.

By: 

NICHOLAS F. SCARDIGLI
ATTORNEYS FOR PETITIONER

CERTIFICATE OF COMPLIANCE

This brief complies with Cal. Rules of Court, rules 8.204 and 8.520(c)(1), because it contains 12,364 words in proportionally spaced, 13-point Times New Roman font.

Dated: November 20, 2024

By: _____
NICHOLAS F. SCARDIGLI

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